

International Business Machines Corp. (IBM): Ticks down guidance on mainframe pushouts; execution needs to improve for the stock to work

Key stock takeaways: We expect the stock to be range bound following IBM's lowered 2026 guidance, as the magnitude of the guidance cut is likely somewhat less severe than expected, in light of the stock's steep underperformance (down 29% after the negative pre-announcement on July 14). We believe IBM's reduced outlook reflects the ongoing client demand re-prioritization toward near-term server and hardware purchases amid rising memory and component prices, which is weighing on both mainframe hardware and Transaction Processing demand. We were somewhat encouraged by management's commentary on the partial recovery in deal signings which pushed out of 2Q, and IBM's efficiency actions should mitigate near-term downside to EPS and cash flow estimates. However, we believe the company's lower-quality business mix in 2026 (stronger hardware and weaker software) and weak near-term sales execution is likely to weigh on the stock's multiple until management can restore investor confidence in IBM's software growth trajectory and overall financial execution. We are Buy rated on IBM based on our view that the company remains on track to deliver improving software revenue growth and consulting market share gains over time.

Read-through to our coverage: We see IBM's results as a modestly negative read-across for our IT Services coverage, as consulting results in the quarter were slightly weaker against a challenging macro backdrop and tepid reports from peers.

2Q revenue results are below the Street, in line with IBM's negative pre-announcement on July 14: In line with its negative pre-announcement on July 14, IBM reported 2Q26 revenue of \$17.2 bn. Total revenue from continuing operations was up 1% in nominal terms. Software revenue growth of 5% was well below the Street at 11%, Consulting revenue was flat and was below the Street at 2.0%. Infrastructure revenue decreased by 7% and was well below the Street estimate of down 3%. Non-GAAP gross margin of 59.4% came in below the Street at 59.8% and our estimate of 60.1%. Pre-tax margin of 19.2% was above the Street at 18.8% and in line with our estimate of 19.2%. EPS from continuing operations of \$2.93 was below the Street at \$2.98 and our estimate of \$3.06. Free cash flow as of 2Q26 of \$4.8 bn was below the Street at \$5.51 bn, and compares to \$4.81 bn in 1H25.

- **Software:** Software revenue was \$7.76 bn (up 4.6% yoy in CC, including an estimated 400-500bps impact from M&A). In line with its pre-announcement, IBM posted better growth in Hybrid Cloud (up 11% in CC), but a contraction in

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Transaction Processing (down 9% in CC) given the shortfall in mainframe.

Automation (which includes HashiCorp) grew 3% in CC and Data was up 18% (driven mainly by Confluent). IBM now expects Software revenue growth of 6% – 8% (down from over 10% previously) for 2026 given the shortfall in Transaction Processing and Data.

- **Consulting:** Consulting revenue was \$5.33 bn (up 1% in CC). Total consulting signings were \$5.0 bn (up 6% in CC); consulting book-to-bill now stands at 1.05X on a trailing 12-month basis. Within the segment, Strategy and Technology (previously Business Transformation and Technology Consulting) and Intelligent Operations (previously Application Operations and BPO services) both grew 1%. Management still expects low- to mid-single digit growth in Consulting in 2026.
- **Infrastructure:** Infrastructure revenue was \$3.84 bn (down 7.4% yoy in constant currency). Hybrid Infrastructure was down 10% (with IBM Z-series down 42% given the pushout in z17 mainframe purchases and Distributed Infrastructure up 37%), while Infrastructure Support was down 1%. Management now expects Infrastructure to be up low-single digits (up from down low-single digits prior) in 2026, given stronger Power and storage demand offsetting mainframe weakness.

2026 guidance ticked down: For 2026, IBM lowered guidance for constant currency revenue growth to 4% – 5%, down from more than 5% prior (we now model 4.4% CC growth or \$70.46 bn vs. the Street at \$70.49 bn), along with a neutral FX impact of (previously a tailwind of 0.5%–1.0%). IBM maintained its FCF guidance for a \$1.0 bn increase in FCF, which translates to approximately \$15.7 bn in free cash flow (vs. GS at \$15.9 bn and the Street at \$15.3 bn). IBM also guided for PTI margin expansion of 100bps, essentially unchanged relative to prior guidance. By segment, IBM now expects Software to grow revenue by 6% – 8% in CC (down from ~10% CC prior), with Red Hat growth in the double digits and Transaction Processing down low-to-mid single digits. For Consulting, IBM still expects low-to-mid single digit growth. Infrastructure is now expected to grow low-single digits (up from a decline of low-single digits previously given stronger Power and storage demand offsetting mainframe weakness).

Estimate changes: We tick down our EPS estimates to \$12.40/\$13.35/\$14.95 from \$12.50/\$13.50/\$15.20 prior, given lower revenue growth assumptions and FX tailwinds in 2026 and beyond.

Price target update: We lower our 12-month price target to \$270 from \$335 prior, which is based on 20X (down from 25X previously given lower visibility and lower peer multiples) our one-year forward earnings estimates. Downside risks: 1) increased macro headwinds, 2) slowdown in consulting, 3) AI bookings deceleration, 4) dilutive M&A.

We maintain our Buy rating on IBM, as we believe the company is on track to complete its pivot to long-term growth driven by long-term improvements in software growth and consulting market share gains.

Exhibit 1: IBM - Variance summary

Financials (\$ mn)	2Q26					
	Actual	GS	Street	Actual/GS	Y/Y	FY26 Guidance
Software	7,761	8,156	7,938	-4.8%	+5.1%	
Consulting	5,327	5,451	5,379	-2.3%	+0.2%	
Infrastructure	3,835	4,047	3,908	-5.2%	-7.4%	
Financing	186	158	173	+17.8%	+12.0%	
Other	52	48	23	+8.3%	-267.7%	
Total Revenue	17,162	17,860	17,431	-3.9%	+1.1%	
Y/Y (as reported)	1.0%	5.2%				
Y/Y (cc)	1.0%	5.1%				4% - 5%
Gross Margin (non-GAAP)	59.4%	60.1%	59.1%	-70 bps	-69 bps	
Pre-tax Income Margin (non-GAAP)	19.2%	19.2%	18.8%	-4 bps	+37 bps	~100 bps expansion
Net Income (non-GAAP)	2,792	2,920	2,774	-4.4%	+5.3%	
EPS (non-GAAP diluted)	\$2.93	\$3.06	\$2.91	-4.3%	+4.8%	
FCF (adjusted)	2,540	3,175	2,795	-20.0%	-10.7%	FY26: >\$15.7 bn

Source: Company data, Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

Exhibit 2: IBM - Estimate Changes

Financials (\$ mn)	2026E				2027E				2028E			
	GS	Old	Y/Y	Δ	GS	Old	Y/Y	Δ	GS	Old	Y/Y	Δ
Software	32,046	33,219	+7.0%	-3.5%	34,757	35,702	+8.5%	-2.6%	37,029	38,021	+6.5%	-2.6%
Consulting	21,493	21,617	+2.1%	-0.6%	22,434	22,787	+4.4%	-1.5%	23,556	24,154	+5.0%	-2.5%
Infrastructure	16,004	15,598	+1.8%	+2.6%	15,321	14,755	-4.3%	+3.8%	17,133	16,469	+11.8%	+4.0%
Financing	761	736	+3.4%	+3.5%	769	743	+1.0%	+3.5%	826	797	+7.4%	+3.6%
Other	160	156	+154.0%	+2.6%	240	240	+50.0%	+0.0%	240	240	+0.0%	+0.0%
Total Revenue	70,464	71,325	+4.3%	-1.2%	73,521	74,227	+4.3%	-1.0%	78,784	79,682	+7.2%	-1.1%
Y/Y (as reported)	4.3%	5.6%			4.3%	4.1%			7.2%	7.3%		
Y/Y (cc)	4.4%	5.2%			4.3%	4.1%			7.2%	7.3%		
Gross Margin (non-GAAP)	59.7%	59.8%	+16 bps	-17 bps	60.1%	60.1%	+45 bps	+0 bps	60.4%	60.4%	+27 bps	+1 bps
Pre-tax Income Margin (non-GAAP)	19.7%	19.5%	+90 bps	+21 bps	20.5%	20.4%	+77 bps	+6 bps	21.4%	21.5%	+94 bps	-2 bps
Net Income (non-GAAP)	11,841	11,908	+7.7%	-0.6%	12,805	12,887	+8.1%	-0.6%	14,439	14,620	+12.8%	-1.2%
EPS (non-GAAP diluted)	\$12.40	\$12.50	+7.0%	-0.7%	\$13.35	\$13.50	+7.7%	-1.1%	\$14.95	\$15.20	+11.9%	-1.7%
FCF (adjusted)	15,969	15,964	+8.4%	+0.0%	17,166	17,316	+7.5%	-0.9%	18,075	18,143	+5.3%	-0.4%

Source: Goldman Sachs Global Investment Research

Exhibit 3: IBM - Price Target Methodology

VALUATION METHODOLOGY				
Method	Metric	Base	Bull	Bear
P/E Method	One-Year Forward EPS Estimate	\$13.40	\$14.07	\$12.86
	Multiple	20.0x	30.0x	18.0x
	Valuation	\$270.00	\$422.00	\$231.00
	Upside/Downside	31.7%	105.9%	12.7%
Price Target	12-Month Price Target	\$270.00	100% P/E	
	Potential Upside/Downside	31.7%		
	Dividend Yield at Current Price	3.3%		
	Potential Total Return	35.0%		

Source: Goldman Sachs Global Investment Research

IBM	12m Price Target: \$270.00	Price: \$205.77	Upside: 31.2%
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Buy	GS Forecast				
Market cap: \$196.2bn Enterprise value: \$241.3bn 3m ADTV: \$2.8bn United States Americas Semiconductors & IT Services M&A Rank: 3		12/25	12/26E	12/27E	12/28E
	Revenue (\$ mn) New	67,535.0	70,464.2	73,521.2	78,783.6
	Revenue (\$ mn) Old	67,535.0	71,325.0	74,226.8	79,681.7
	EBITDA (\$ mn)	19,151.0	20,855.3	23,349.1	24,214.1
	EBIT (\$ mn)	14,130.0	15,133.3	16,549.1	18,614.1
	EPS (\$) New	11.59	12.40	13.35	14.95
	EPS (\$) Old	11.59	12.50	13.50	15.20
	P/E (X)	23.0	16.6	15.4	13.8
	Dividend yield (%)	2.5	3.3	3.3	3.3
	Net debt/EBITDA (X)	2.3	2.2	1.5	0.9
		6/26	9/26E	12/26E	3/27E
	EPS (\$)	2.93	2.85	4.70	2.00

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 22 Jul 2026 close.

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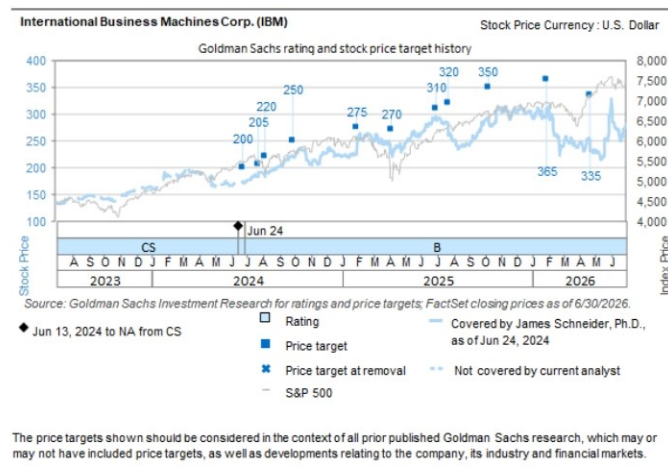
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Price target and rating history chart(s)



Target price history table(s)

International Business Machines Corp. (IBM)

Date of report Target price (\$) Closing price (\$)

23-Apr-26	335.00	231.08
29-Jan-26	365.00	309.24
08-Oct-25	350.00	289.46
24-Jul-25	320.00	260.51
01-Jul-25	310.00	291.20
06-Apr-25	270.00	227.48
30-Jan-25	275.00	258.27
30-Sep-24	250.00	221.08
07-Aug-24	220.00	186.80
25-Jul-24	205.00	191.98
24-Jun-24	200.00	175.01

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